

Solutions to weekly problems and exercises:

Week 8a

Table of contents

Solutions to weekly problems and exercises

Week 8a

1.2. Fixed cost and variable cost

Problem

The cost of making a one unit of a product is £40. What is the cost to make 20 units?

Answer:

£40 times 20 = £800

Exercise

Look at the table below.

Your Business (December)	
Item	Cost (£)
Variable costs per job	£50.00
Office rent	£1,500.00
Wages	£5,000.00
Advertising	£2,000.00
Other fixed costs	£800.00
Expected number of jobs per month	50